22 Anil wants to invest £25 000 for 3 years in a bank.

Personal Bank	**Secure Bank**
Compound Interest	Compound Interest
2% for each year	4.3% for the first year 0.9% for each extra year

Which bank will give Anil the most interest at the end of 3 years?
You must show all your working.

Personal Bank: 2% increase means ×1.02 each year.

$£25000 \times 1.02^3 = £26530.20$

1 mark
Start with a correct multiplier

Secure Bank: first year ×1.043, then ×1.009 twice.

$£25000 \times 1.043 \times 1.009^2 = £26546.462075$

1 mark
Apply compound growth for all three years

Interest: Personal £1530.20; Secure £1546.46.

Choose Secure Bank: it gives about £16.26 more interest.

1 mark
Correct bank supported by both values

(Total for Question 22 is 3 marks)